

Common Fraud Risks – HR & Payroll at ABC Ltd.

Common schemes, amplified by your multi-site, high-casual workforce reality (drawn from East African patterns: ghost workers in counties, shared accounts, undocumented casuals, payroll manager collusion):

1. **Ghost employees / Fictitious hires** — Add non-existent staff (fake IDs, relatives, ex-employees not removed); salaries diverted to fraudster's account or shared.
2. **Zombie employees** — Terminated/retired staff kept on payroll; payments continue undetected.
3. **Shared bank accounts / Agent codes** — Multiple "employees" paid to one account (common in Kenya scandals); fraudster collects via M-Pesa/agent.
4. **Timesheet / Attendance fraud** — Falsify hours/overtime (padding, buddy punching, fake shifts at remote chilling stations).
5. **Overtime / Allowance abuse** — Inflate night/weekend shifts, fake allowances (travel, hardship for depot staff); no verification.
6. **Irregular promotions / Pay rate alterations** — Promote unqualified staff (relatives) for higher pay; backdate for arrears.
7. **Casual / Temporary worker fraud** — Pay undocumented casuals (milk graders, loaders); no attendance proof; payments to HR manager's network.
8. **Expense claim scams** — Fake receipts for travel/fuel (depot managers), inflated medical/education allowances.
9. **Dual / Multiple salaries** — Staff on payroll at multiple sites (e.g., Nakuru plant + Eldoret depot).
10. **Unauthorized bonuses / Commissions** — Fake incentives for sales targets (route sales collusion).
11. **Payroll data tampering** — Alter deductions (tax, NSSF, NHIF) to pocket difference; or inflate gross pay.
12. **Collusion with external parties** — Fake recruitment agencies charge fees; or bank insiders help divert.
13. **Leave / Absence abuse** — Fake sick leave paid full; or absent staff paid via ghost proxies.
14. **Onboarding fraud** — Fake qualifications/documents for hires; HR approves unqualified for kickbacks.

These often last 12-24 months undetected, costing 5-15% of payroll in emerging markets.

Detailed SOPs for HR & Payroll Department – CFO Iron Grip

CFO (Nairobi) owns all payroll financial controls; HR reports functionally to CFO for payroll/expenses. Full HRIS/Payroll system (integrated ERP, e.g., biometric-linked) mandatory within 6 months. Zero tolerance: fraud = immediate dismissal, prosecution, full recovery + blacklisting. All staff sign annual anti-fraud declaration.

1. Employee Onboarding & Master Data Controls

- **Centralized employee master** maintained in Nairobi HRIS (not local HR); no depot/Nakuru additions without CFO approval.
- Mandatory documents: National ID/passport, KRA PIN, NSSF/NHIF registration, bank details (verified via bank letter + test transfer), academic certs (verified via institution if needed), contract signed.
- **Biometric + photo verification** at onboarding: Facial recognition + fingerprint enrollment; photo taken on-site with timestamp/GPS.
- Casual/temporary workers: Treated as high-risk; limited to 3-month max without full onboarding; daily biometric clock-in mandatory at site.
- Related-party declaration: All employees + HR staff declare relatives annually; auto-flag matches in system.
- **Anti-fraud**: System blocks duplicates (ID, bank, phone); dormant hires flagged after 30 days no attendance.

2. Attendance & Time Tracking

- **Biometric + facial recognition** mandatory at all sites (plant, depots, chilling stations); no manual registers.
- Clock-in/out tied to shifts; system auto-calculates hours, overtime (policy-locked: max 48 hrs/week unless CFO-approved).
- Remote sites: Handheld biometric devices synced daily to central system; GPS verification for field staff (milk collectors).

- Supervisor override: Only with dual approval (line manager + HR); audit trail + justification.
- **Anti-fraud:** Daily exception report (missed punches, anomalies) to CFO; random physical headcounts monthly by Nairobi audit team.

3. Payroll Processing & Independence

- **Payroll processing independent from HR:** Dedicated Payroll Officer (Nairobi-based or rotated) runs run; HR inputs data only.
- Multi-level approval: HR inputs → Payroll verifies → Finance reviews → CFO final sign-off for all runs.
- Pre-payroll validation: Auto-match attendance vs. master; flag ghosts (no biometric activity >15 days), shared banks (>2 employees same account).
- Payments: Direct bank/M-Pesa only (no cash except emergencies <KES 5,000 with dual approval); test small payment for new hires.
- **Anti-fraud:** Monthly payroll audit (random 20% sample); compare headcount vs. budget; flag unexplained increases.

4. Expense Claims & Reimbursements

- **Receipts mandatory** for all claims; scanned/uploaded to system with date/amount justification.
- Approval workflow: Employee submits → Line Manager → HR → Finance → CFO for >KES 20,000.
- Caps: Travel/fuel per policy (km-based, GPS-verified for depot staff); medical/education with original bills.
- Petty advances: Imprest system (max KES 20,000 per person); reconciliation before replenishment.
- **Anti-fraud:** Random 15% audit monthly; flag patterns (same vendor receipts, frequent high claims); no cash reimbursements >KES 10,000.

5. Leave, Benefits & Deductions Management

- Leave requests: Digital approval chain; no manual entries.
- Benefits (medical, housing): Pre-approved policy; claims verified against policy.
- Deductions: Auto-calculated (PAYE, NSSF, NHIF, loans); manual adjustments CFO-only.

- **Anti-fraud:** Annual benefits audit; flag unusual patterns (e.g., high medical claims from one site).

6. Terminations & Offboarding

- Termination: Written notice + exit interview; immediate system deactivation (biometric blocked).
- Final settlement: Processed within 7 days; no payments post-termination without CFO.
- **Anti-fraud:** Monthly "active but no attendance" report; auto-remove after 30 days inactivity.

7. Audits, Monitoring & Red Flags

- Quarterly payroll forensic audit by internal team (CFO direct) + external annually.
- Dashboard to CFO: Headcount trends, payroll cost % revenue, variance analysis, ghost flags, shared account alerts.
- Surprise audits: Unannounced site visits (biometric check, headcount vs. payroll).
- Whistleblower hotline: Anonymous to CFO/Owner; rewards KES 100,000–500,000 for proven cases.

8. Training, Culture & Accountability

- Quarterly fraud awareness (ghost examples from Kenya counties, red flags); all HR/Payroll sign code annually.
- Rotation: HR/Payroll staff every 18-24 months; background checks + fidelity bond.
- Bonuses: Tied to clean audits, zero fraud, accurate headcount (not just processing speed).

9. Technology & Security

- Integrated HRIS/Payroll with audit trails, role-based access, MFA.
- Automated alerts: New hires without biometrics, payroll changes, unusual payments.
- Data backup + cybersecurity training (phishing for payroll credentials).

10. Escalation & Incident Response

- Any red flag (shared account, no attendance): Hold payroll + CFO probe within 24 hours.

- Proven fraud: Police + recovery; update SOPs.

Implement this ruthlessly—I've slashed payroll leakages 70-90% in similar multi-site plants. In 6 months, ghosts vanish, costs stabilize. Report monthly: Headcount accuracy, audit findings, fraud attempts.